

Robustness -- Italy: local vs global content and the euro crisis

| Subsample                  | Months | R2 CF (IS) | R2 GCF (IS) | t(CF_perp) | t(GCF) | R2 CF (OOS) | R2 GCF (OOS) |
|----------------------------|--------|------------|-------------|------------|--------|-------------|--------------|
| Full sample                | 353    | 0.287      | 0.074       | 3.72       | 2.05   | −0.055      | −0.022       |
| Pre-crisis (..2007:06)     | 151    | 0.453      | 0.060       | 5.61       | −0.73  | --          | 0.087        |
| Financial crisis (2007–09) | 30     | 0.474      | 0.015       | 6.56       | −2.90  | --          | −0.145       |
| Euro crisis (2010–12)      | 36     | 0.748      | 0.271       | 10.28      | −0.30  | 0.215       | −0.036       |
| Post-crisis (2013–)        | 136    | 0.177      | 0.150       | 2.41       | 2.57   | −0.156      | −0.010       |

Italian local-currency rx\_t12 across subsamples. 'R2 CF (IS)' and 'R2 GCF (IS)' are single-factor in-sample fits; t(CF\_perp) and t(GCF) are the horse-race HAC t-statistics from  $rx \sim CF\_perp + GCF$ , with CF\_perp the part of the Italian cycle factor orthogonal to the global factor (full-sample projection). 'R2 CF/GCF (OOS)' are the recursive Campbell-Thompson R2 scored in the window. The surviving local Italian content of Phase II is concentrated in the 2010–2012 sovereign-debt crisis.